

S	E	R	V	E	D
August 16, 2017					
FEDERAL	MARITIME	COMMISSION			

FEDERAL MARITIME COMMISSION

DOCKET NO. 17-02

HANGZHOU QIANWANG DRESS CO., LTD.

v.

RDD FREIGHT INTERNATIONAL INC.

**ORDER FOR COMPLAINANT TO SHOW CAUSE
WHY COMPLAINT SHOULD NOT BE DISMISSED and
ORDER FOR RESPONDENT TO RESPOND**

On March 2, 2017, the Commission issued a Notice of Filing of Complaint and Assignment (Notice) for this proceeding. The Complaint is signed and verified by Lan Ye, who states that she is "the assistant manager of [Hangzhou Qianwang Dress Co., Ltd. (Hangzhou Qianwang)]." (Complaint at 7.)

The Initial Order required the parties to submit a joint status report with a proposed discovery schedule within twenty days of the service of the answer. *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight International Inc.*, FMC No. 17-02, Order at 1 (ALJ Mar. 3, 2017) (Initial Order). Respondent RDD Freight International Inc. (RDD Freight) filed an answer and counterclaim on March 24, 2017.

On April 21, 2017, Lan Ye sent a letter to the Secretary stating that she had contacted respondent RDD Freight International Inc. (RDD Freight) and its lawyer about discovery, but they would not talk to her. The letter suggested a discovery schedule, but did not indicate that the letter had been sent to counsel for RDD Freight. The Assistant Secretary contacted Lan Ye and requested a certificate of service for the letter, but the certificate has not been filed. The Assistant Secretary has included the Lan Ye letter in the docket.

On April 27, 2017, the undersigned asked the parties to appear for a conference by telephone. The call was conducted beginning at approximately 4:05 P.M. EDT. Lan Ye appeared for Hangzhou

Qianwang and attorney Ren Rong Pan appeared for RDD Freight. An audio recording was made of the conference and sent to the parties. The Commission does not intend to create a transcript.

Commission Rules provide that a “party may appear in person or by an officer, partner, or regular employee of the party, or by or with counsel or other duly qualified representative, in any proceeding under the rules in this part.” 46 C.F.R. § 502.21(a). During the conference, counsel for RDD Freight stated that it is his understanding that Lan Ye is not an officer, partner, or regular employee of Hangzhou Qianwang. Counsel stated that he received an email from the principal of Hangzhou Qianwang in China stating the Lan Ye is a “friend.” Counsel forwarded a print copy of an email from the principal to the Office of Administrative Law Judges and a copy is attached to the order issued after the conference. Lan Ye then acknowledged that she is not an attorney and is not an officer, partner, or regular employee of Hangzhou Qianwang.

The information about Lan Ye raised at least two immediate problems. As explained to Lan Ye, first, Commission Rules require that a complaint be verified; that is, signed by a person who has knowledge of the facts. 46 C.F.R. § 502.62(a)(3). Because Lan Ye is not an officer, partner, or regular employee of Hangzhou Qianwang, it is not readily apparent how she would have knowledge of the facts alleged in the Complaint. Second, because Lan Ye is not an attorney or officer, partner, or regular employee of Hangzhou Qianwang, she may not represent it in this proceeding. Therefore, Hangzhou Qianwang was ordered to serve and file with the Secretary a new Verified Complaint signed by a person with knowledge of the facts alleged in the Complaint and ordered to designate an attorney or an officer, partner, or regular employee qualified to represent it in this proceeding. See 46 C.F.R. § 502.22 (“Any individual acting in a representative capacity in any proceeding before the Commission may be required to show his or her authority to act in such capacity.”). The parties were also directed to contact the Commission’s Office of Consumer Affairs & Dispute Resolution Services (CADRS). Hangzhou Qianwang was cautioned that if it did not take the required actions by the stated date, the Complaint may be dismissed. *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight International Inc.*, FMC No. 17-02 (ALJ Apr. 28, 2017) (Order to Supplement the Record).

Since that order was issued, the only documents that Hangzhou Qianwang has filed have been Complainant’s letter response to counterclaim signed by the General Manager of Complainant, Complainant’s letter of proposed discovery timeline signed by the General Manager of Complainant, and Complainant’s certificate of service, which is a photograph of a Federal Express mailing label. Hangzhou Qianwang had not filed a new Verified Complaint signed by a person with knowledge of the facts alleged in the Complaint or designated an attorney or an officer, partner, or regular employee qualified to represent it in this proceeding.

Accordingly, on July 24, 2017, another order was issued. First, each party was ordered to file an individual status report stating whether the parties were engaged in active settlement discussions with CADRS. Second, Hangzhou Qianwang was again ordered to file its Complaint and designate its representative.

Complainant [is ordered to] serve and file a new Verified Complaint signed by a person with knowledge of the facts alleged in the Complaint and designate an attorney or an officer, partner, or regular employee qualified to represent it in this proceeding as required by the April 28, 2017, Order. As stated in the April 28, 2017, Order, if Complainant does not take the required actions by August 9, 2017, the Complaint in this proceeding may be dismissed.

Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight International Inc., FMC No. 17-02 (ALJ July 24, 2017) (Order to File Status Reports; Order for Complainant to Supplement the Record).

It is now August 16, 2017. Neither party has filed a status report. More importantly, Hangzhou Qianwang has not filed its Verified Complaint signed by a person with knowledge of the facts alleged in the Complaint and designated a representative.

Commission rules require a complainant to prosecute its complaint.

If the complainant fails to prosecute or to comply with these rules or an order in the proceeding, . . . the presiding officer, after notice to the parties, may dismiss the proceeding on its own motion. Unless the dismissal order states otherwise, a dismissal under this subpart, except one for lack of jurisdiction or failure to join a party, operates as an adjudication on the merits.

46 C.F.R. § 502.72(b). Hangzhou Qianwang has twice been ordered to supplement the record by filing a new verified complaint signed by a person with knowledge of the facts and by designating a representative. Despite warnings each time that failure to comply could result in dismissal of the complaint, twice Hangzhou Qianwang has failed to comply with the orders. Therefore, it is appropriate to order Hangzhou Qianwang to show cause why its Complaint should not be dismissed for failure to prosecute and failure to comply with orders in this proceeding. RDD Freight may file a response to Hangzhou Qianwang's response. If Hangzhou Qianwang does not file a response to this order, RDD should file a motion to dismiss the complaint.

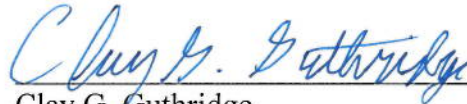
RDD Freight has filed a counterclaim that will remain pending if the complaint is dismissed. Whether or not Hangzhou Qianwang files a response to this order, RDD Freight is ordered to file a statement whether it wants to proceed with its counterclaim if the complaint is dismissed.

O R D E R

Upon consideration of the record herein and for the reasons stated above, it is hereby

ORDERED that on or before August 30, 2017, complainant Hangzhou Qianwang Dress Co., Ltd., show cause why its Complaint should not be dismissed for failure to prosecute and failure to comply with orders in this proceeding. It is

FURTHER ORDERED that on or before September 8, 2017, respondent RDD Freight International Inc., respond to Hangzhou Qianwang's response to this order. If Hangzhou Qianwang fails to respond to this order, on or before September 8, 2017, RDD Freight should file a motion to dismiss the complaint for failure to prosecute. RDD Freight has filed an answer to the complaint and included a counterclaim in its answer. In a response to a Hangzhou Qianwang response to this order or in a motion to dismiss, RDD Freight should state whether it intends to proceed with its counterclaim if the complaint is dismissed. If RDD Freight does not file a response or motion, the counterclaim may be dismissed.



Clay G. Guthridge
Administrative Law Judge